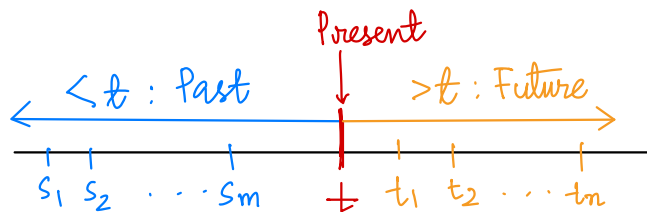


RECAP : 1) The Markov Property:For an RP $\{X_t : t \in T\}$ on $(\Omega, \mathcal{F}, P)$,

$$\{X_{s_1}, X_{s_2}, \dots, X_{s_m}\} \perp\!\!\!\perp \{X_{t_1}, X_{t_2}, \dots, X_{t_n}\} \mid X_t, \text{ where}$$

$$s_1 < s_2 < \dots < s_m < t < t_1 < t_2 < \dots < t_n$$

Given the present, the future is independent of the past!



2) Discrete time Markov Chain

- $\{X_n, n \in \mathbb{N}\}$, with X_n taking values in a countable set S (State space)s.t. $\{X_n, n \in \mathbb{N}\}$ has the Markov property- Transition Probability matrix $P(n) = |S| \times |S|$ matrix with the $(i, j)^{\text{th}}$ entry

$$P_{ij}^{(n)} = P\{X_{n+1} = j \mid X_n = i\}, n \in \mathbb{N}, i, j \in S. \text{ (Row-Stochastic Matrix)}$$

- Time homogeneous DTMC $P(n) = P \quad \forall n \in \mathbb{N}$ - n -step transition probabilities $P\{X_{n+1} = j \mid X_1 = i\}$.PLAN : 1) n -step transition probabilities - Chapman Kolmogorov Equation.

2) Finite dimensional distributions.

3) Strong Markov Property.

REFERENCE : A. Kumar, "Discrete Event Stochastic Processes".

n-step transition probabilities $P\{X_{n+1}=j | X_1=i\} = p_{ij}^{(n)}$

i.e. given that you are in 'state' i , what is the prob. that you will be in state j after n time steps?

This is talked about only for time-homogeneous DTMCs.

Qn: For a time homogeneous DTMC $\{X_n: n \in \mathbb{N}\}$ on the state space S , is it required to specify the n -step transition probability matrix $P^{(n)}$, with $p_{ij}^{(n)} = P\{X_{n+1}=j | X_1=i\}$ for all $n \in \mathbb{N}$?

Answer: **NO!**

Consider $\{X_n, n \in \mathbb{N}\}$ DTMC with state space S .

$\{X_n, n \in \mathbb{N}\}$ is Time homogeneous with TPM P .

$$P\{X_{n+1}=j | X_n=i\} = p_{ij} \quad \forall n \in \mathbb{N}$$

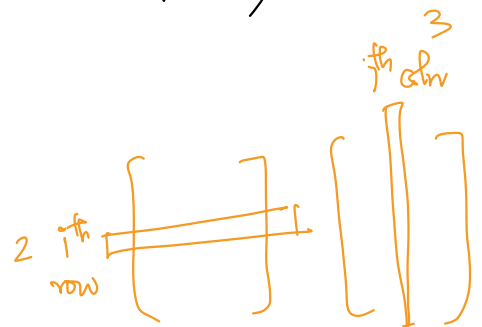
$$P\{X_2=j | X_1=i\} = p_{ij}$$

$$P\{X_3=j | X_1=i\} = \sum_{k \in S} P(X_3=j | X_2=k, X_1=i) P(X_2=k | X_1=i)$$

$$= \sum_{k \in S} P(X_3=j | X_2=k) P(X_2=k | X_1=i)$$

$$= \sum_{k \in S} p_{kj} \cdot p_{ik}$$

$$= (P^2)_{ij}$$



We can get two-step transition probabilities from the one-step TPM!!

Chapman - Kolmogorov Equation

Theorem (Chapman - Kolmogorov): For a time-homogeneous DTMC $\{X_n: n \in \mathbb{N}\}$ with state space S , for any $n \in \mathbb{N}$, let $p_{ij}^{(n)} = P\{X_{n+1}=j \mid X_1=i\}$, $i, j \in S$. Let $P^{(n)} = [p_{ij}^{(n)}]_{i,j \in S}$. Then, $P^{(n)} = P^n \forall n \in \mathbb{N}$, where $P = P^{(1)}$ is the one-step TPM of $\{X_n, n \in \mathbb{N}\}$

Proof: For $i, j \in S$ and $n, l \geq 0$

$$\begin{aligned} p_{ij}^{(n+l)} &= P\{X_{n+l+1}=j \mid X_1=i\} \\ &= \sum_{k \in S} P\{X_{n+1}=k \mid X_1=i\} \cdot P\{X_{n+l+1}=j \mid X_1=i, X_{n+1}=k\} \\ &= \sum_{k \in S} p_{ik}^{(n)} \cdot P\{X_{n+l+1}=j \mid X_{n+1}=k\} \quad (\text{Markov property}) \\ &= \sum_{k \in S} p_{ik}^{(n)} p_{kj}^{(l)} \\ &= [P^{(n)} \cdot P^{(l)}]_{ij} \end{aligned}$$

$$\therefore p^{(n+l)} = p^{(n)} \cdot p^{(l)}$$

Use this inductively to get the desired result.

Theorem (Chapman - Kolmogorov - II) :

Let $\{X_n: n \in \mathbb{N}\}$ be a time-homogeneous DTMC on a state space S with TPM P . For each $n \in \mathbb{N}$, let $\pi(n)$ denote the unconditional PMF of X_n . Then

$$\pi(n+1) = \pi(n) P, \quad \forall n \in \mathbb{N}$$

Finite Dimensional distributions : Fix a prob. space $(\Omega, \mathcal{F}, P)$

FDDs of a time homogeneous DTMC $\{X_n, n \in \mathbb{N}\}$ on the state space S .

Consider, any $1 < n_1 < n_2 < \dots < n_m \in \mathbb{N}$ and $i_1, i_2, \dots, i_m \in S$,

$$\begin{aligned}
 P(X_{n_1} = i_1, X_{n_2} = i_2, \dots, X_{n_m} = i_m) &= \sum_{i \in S} P(X_1 = i, X_{n_1} = i_1, \dots, X_{n_m} = i_m) \\
 &= \sum_{i \in S} P(X_1 = i) P(X_{n_1} = i_1, \dots, X_{n_m} = i_m | X_1 = i) \\
 &= \sum_{i \in S} P(X_1 = i) P(X_{n_1} = i_1 | X_1 = i) P(X_{n_2} = i_2 | X_{n_1} = i_1) \dots \\
 &\quad \dots P(X_{n_m} = i_m | X_{n_{m-1}} = i_{m-1}) \\
 &= \sum_{i \in S} \pi_i(1) P_{i, i_1}^{(n_1-1)} P_{i_1, i_2}^{(n_2-n_1)} \dots P_{i_{m-1}, i_m}^{(n_m-n_{m-1})}
 \end{aligned}$$

Unconditional Joint Distribution

∴ FDDs are completely specified using the TPM P and the initial pmf $\pi(1)$.

Remark: For a given TPM P , we obtain different DTMCs for different initial PMFs.

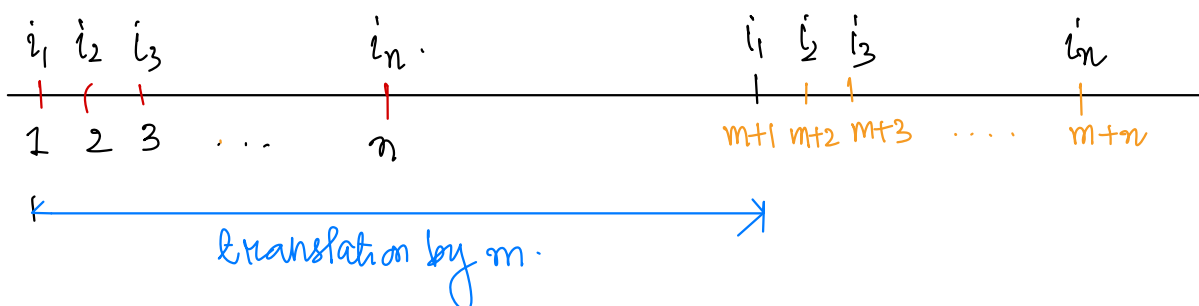
Stationarity of Conditional FDDs of TH DTMCs : Fix a prob. space $(\Omega, \mathcal{F}, P)$

Let $\{X_n : n \in \mathbb{N}\}$ be a time homogeneous DTMC on a state space S .

Conditioned on the initial state, any finite dimensional joint PMF of $\{X_n : n \in \mathbb{N}\}$ is

stationary, i.e., for all $m, n \in \mathbb{N}$ and $i_1, i_2, \dots, i_n \in S$,

$$P\left(\bigcap_{j=2}^n \{X_j = i_j\} \mid \{X_1 = i_1\}\right) = P\left(\bigcap_{j=2}^n \{X_{m+j} = i_j\} \mid \{X_{m+1} = i_1\}\right)$$



$$P(X_2 = i_2, X_3 = i_3, \dots, X_n = i_n | X_1 = i_1) = P(X_2 = i_2 | X_1 = i_1) \cdot P(X_3 = i_3 | X_2 = i_2) \dots P(X_n = i_n | X_{n-1} = i_{n-1})$$

$$= \prod_{j=2}^n P(X_j = i_j | X_{j-1} = i_{j-1}) = \prod_{j=2}^n p_{i_{j-1}, i_j}$$

$$P(X_{m+2} = i_2, \dots, X_{m+n} = i_n | X_m = i_1) = \prod_{j=2}^n P(X_{m+j} = i_j | X_{m+j-1} = i_{j-1}) = \prod_{j=2}^n p_{i_{j-1}, i_j}$$

In particular,

for a TH-

DTMC,

$$P\{X_{k+1} = j | X_1 = i\} = P\{X_{k+m} = j | X_m = i\} \quad \forall i, j \in S, k, m \in \mathbb{N}$$

Strong Markov Property: Fix a probability space $(\Omega, \mathcal{F}, P)$

Suppose that $\{X_n: n \in \mathbb{N}\}$ is a time homogeneous DTMC on the state space S .

Markov Property: For any $n \in \mathbb{N}$

$$P\{X_{n+1} = j | X_1 = i_1, \dots, X_{n-1} = i_{n-1}, X_n = i\} = P\{X_{n+1} = j | X_n = i\}$$

$$\text{i.e. } X_{n+1} \perp \{X_1, \dots, X_{n-1}\} \mid X_n$$

This is w.r.t a fixed n . Suppose T is a random time, i.e. T itself is a random variable taking values in the index set $\mathbb{N}$ of the DTMC, i.e. $T: \Omega \rightarrow \mathbb{N}$.

Does the Markov Property hold when n is replaced by T ?

Example 1: Fix a prob. space $(\Omega, \mathcal{F}, P)$. Consider a TH DTMC $\{X_n: n \in \mathbb{N}\}$ on state space S . For $j \in S$, let T_j be the random time when the process first visits the state j , i.e. $T_j(\omega) = k$ if $X_0(\omega) \neq j, X_1(\omega) \neq j, \dots, X_{k-1}(\omega) \neq j, X_k(\omega) = j$.

If for some $\omega \in \Omega$, $\nexists k$ s.t. $T_j(\omega) = k$, then $T_j(\omega) = \infty$. Is T_j a r.v.?

$$\text{Is } P(X_{T+k} = j | X_1 = i_1, \dots, X_T = i) = p_{ij}^{(k)} \text{ ?}$$